



RMIT UNIVERSITY

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QUESTION 5:

a. The Impact of Fund Fees on Investment Returns:

When investing in funds, clients encounter a variety of fees, including those for wealth management, asset management, financial advisory, investment advising, money management, managed accounts, CFP, fund management, and portfolio management (Advisoryhq, 2022). These fees directly affect the client's rate of return on investment as they are deducted from the fund's total returns. Higher fees result in a lower net return on investment. However, recent trends show a decrease in fund fees, with the asset-weighted average expense ratio of U.S. funds falling to 0.37% in 2022 from 0.40% in 2021, resulting in an estimated \$9.8 billion in savings for investors (Morningstar, Inc, 2023) . This decrease is driven by a shift towards low-cost funds, indicating investors' increasing preference for cost-efficient investment options (Bryan Armour, 2023).

b. Biases and Problems with Human Advisors:

Human advisors are prone to various biases, including overconfidence, representativeness, recency bias, loss aversion bias, and confirmation bias (Ted Godbout, 2019). These biases in investment decisions can result in detrimental effects. Advisors influenced by biases may make inaccurate choices, and compromise objectivity, making poorly diversified portfolios, and impacting financial outcomes (Adam Hayes, 2023). Consequently, They create trust issues among investors.

As for the prevalence of these biases across different cultures, research suggests that there are indeed differences. For example, a study found that East Asian cultures were more positively biased than Western cultures on several measures. This could be due to cultural differences in risk perception and decision-making (Jenny Yiend el at, 2019). However, it's important to note that these biases can also change with acculturation, as seen in migrants who move to a different culture.

Overall, These biases create a trust gap among investors, requiring a proactive approach to mitigate their negative effects.

c. The Possibility of AI and Robot Advisors Managing Portfolios:

The possibility of AI and robot advisors taking over portfolio management is becoming increasingly clear (Peter Scholz et al., 2020). These technologies optimize the investment process, enhance operational efficiency, and improve the customer experience. However, the adoption of AI in portfolio management is still limited to certain areas, such as understanding various personal customers' requirements. Therefore, a combination of machine-driven and human-centric services often produces the best results (Pete Peranzo, 2023). This premise is validated by real-world case studies:

Rothschild Martin Maurel: This wealth management firm utilizes AI for various tasks, including lead generation, cultivating customer relationships, automating financial advisory, streamlining back-office operations, managing compliance, and conducting sentiment analysis. AI forms the backbone of algorithms that analyze market data in real time, providing investment recommendations that align with clients' return objectives, risk tolerance, and personal constraints (Xavier de Laforcade, 2023).

Imaginnovation: This company uses AI to enhance customer experience, streamline operations, and reduce costs. For example, it uses Robotic Process Automation (RPA) to eliminate labor-intensive and error-prone tasks such as data entry from contracts and forms (Joseph Byrum, 2022).

In conclusion, these examples underscore the crucial role of human involvement alongside AI and robot advisors in portfolio management. A collaborative approach leverages the strengths of AI in data processing and efficiency without affecting by any biases during the process, complemented by the ability of human advisors to understand client needs and provide personalized advice.

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